THE STAR ENTERTAINMENT GROUP LIMITED (ASX: SGR) QUARTERLY REPORT · CASINOS AND RESORTS · AUSTRALIA

The Star turns a A$13m EBITDA loss into a A$12m profit, while its Sydney licence stays suspended

On 27 October 2026 The Star released its Q1 FY27 quarterly report, covering the three months to 30 September 2026. Group EBITDA was A$12 million, against a A$13 million loss a year earlier. Revenue at Sydney and the Gold Coast rose 5% on the same quarter last year, the first year-on-year rise since the company began quarterly reporting, and corporate costs fell. Cash and equivalents ended at A$239 million, and the company says the going-concern uncertainties from FY26 remain.

A$12m
Group EBITDA
A$13m loss in Q1 FY26, A$9m loss in Q4 FY26

+5%
Sydney + Gold Coast revenue
A$279m vs A$266m a year earlier

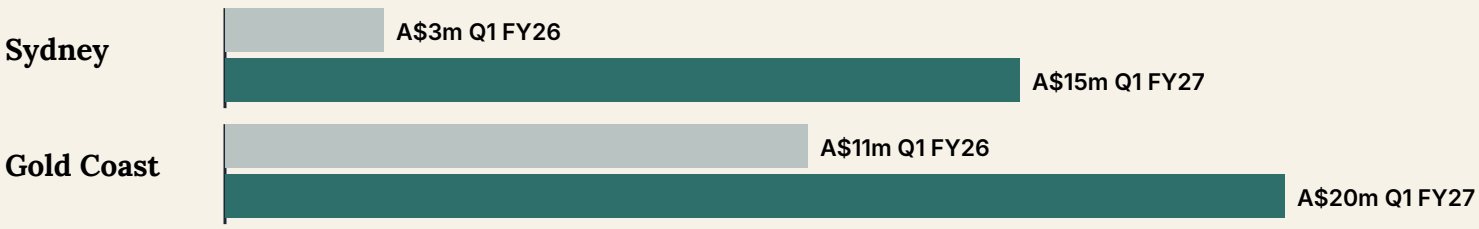
A$239m
Cash and equivalents
A$267m at 30 June 2026

GROUP EBITDA BY QUARTER (A$M, BEFORE SIGNIFICANT ITEMS)



Q1 FY26 and Q4 FY26 are shown on the company's restated basis. Q2 FY26 is not shown: it was originally reported at a A$6m profit that included an A$11m Brisbane operator fee true-up, so Q1 FY27 is not the first positive quarter. Restated Q2 and Q3 FY26 figures are not published in this report.

WHERE THE IMPROVEMENT CAME FROM: EBITDA BY PROPERTY (A$M)



Sydney and Gold Coast combined EBITDA was A$35m against A$14m a year earlier. The Star Brisbane segment, where The Star earns an operator fee, was A$0 against A$6m after the fee fell to A$5m from A$14m under the amended management agreement. Unallocated corporate costs were A$23m, 29% below the prior year.

What The Star does. The Star owns and runs two integrated resorts, The Star Sydney and The Star Gold Coast, and operates The Star Brisbane for its owner under a casino management agreement. Revenue comes mainly from gaming, with hotels, food and beverage and entertainment alongside.

Sources: The Star Entertainment Group Limited, "Quarterly Activities/Appendix 4C Cash Flow Report", ASX 27 Oct 2026 (primary; page 2 tables checked against the PDF page); "Quarterly Activities & Appendix 4C Cash Flow Report", ASX 30 Jan 2026. Figures are Australian dollars (A$), unaudited, before significant items and restated for FY26 comparatives where the company says so. Share-price data is not included in this report.

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Why it matters: earnings have turned, but cash, one-offs and licences still decide the story

WHAT IMPROVED

Revenue. Group revenue was A$284m, up 2% on the prior year and 8% on Q4 FY26 (A$262m). Sydney and Gold Coast combined revenue was A$279m, up 9% on Q4 FY26 (A$257m), which the company links to electronic gaming machine growth and marketing initiatives.

Costs. Group operating expenses were A$202m against A$229m a year earlier, down 12%. Gaming taxes and levies rose to A$70m from A$64m, in line with higher gaming revenue.

Operating leverage. Group revenue rose A$4m on the prior year, while EBITDA improved A$25m. Most of the swing came from lower costs, not from revenue.

WHAT THE NUMBERS DO NOT SHOW

Operating cash flow was negative. Net operating cash flow was -A$15.5m, after a A$41.5m "other" inflow that includes a one-off tax settlement and returned rebate duty, and the quarter also includes a one-off payment of historical casino duties. The filing does not quantify these items, so the company's statement that operating free cash flow excluding one-offs was positive cannot be checked from the Appendix 4C alone.

Cash fell. Cash and equivalents dropped about A$28m in the quarter (A$267.1m to A$239.4m). Total cash and deposits were A$319m (A$368m at 30 June), including A$80m of restricted deposits and A$48m held in an interest reserve account.

Debt. The US$390m refinancing facility with WhiteHawk Capital was A$559.1m at 30 September. A A$11.6m payment-in-kind liability is due to be settled in shares, subject to shareholder approval.

LICENCE STATUS PER THE 27 OCTOBER REPORT

Sydney	Casino licence remains suspended. The Manager's appointment runs to 30 June 2027, unless the NSW Independent Casino Commission ends it earlier.
Gold Coast	Suspension deferred. The Special Manager's appointment currently runs to 31 March 2027.
Brisbane	The External Adviser's appointment currently runs to 31 March 2027.

COMPANY EXPECTATIONS (NOT RESULTS)

Management expects FY27 to be the first year in more than two years with net operating cash inflows before one-off items, and expects further cuts to unallocated corporate costs as decentralisation takes hold. It also says the FY26 going-concern uncertainties will be reassessed when the half-year accounts are filed, with no assurance they will be resolved by then.

WHAT TO WATCH

Whether Q2 FY27 revenue growth holds, given softer Sydney table games and non-gaming revenue · Any NSW or Queensland decision on the Sydney and Gold Coast licences · Operating cash flow with the one-offs quantified · The half-year going-concern assessment · Settlement of the payment-in-kind liability in shares · The lower Brisbane operator fee

TAR TAKE (OUR INTERPRETATION)

This is the clearest sign yet that cost cuts and gaming growth are lifting earnings at Sydney and the Gold Coast. It is one quarter, unaudited and on a restated basis, and it is not the first profitable quarter the company has reported. The balance sheet picture is less settled: operating cash flow was negative, cash fell, and the company itself says going-concern uncertainties remain. With the Sydney licence still suspended, the next few quarters need to show that revenue growth and cash generation can last.

Sources: The Star Entertainment Group Limited, "Quarterly Activities/Appendix 4C Cash Flow Report", ASX 27 Oct 2026 (primary; Appendix 4C items 1, 4, 5 and 7 checked); "Quarterly Activities & Appendix 4C Cash Flow Report", ASX 30 Jan 2026 (Q2 FY26 comparison). Calculations: A$267.087m less A$239.438m is A$27.6m; A$284m less A$280m is A$4m of revenue growth; A$12m less (A$13m) is A$25m of EBITDA improvement. Figures are A$, unaudited. Share-price data is not included.

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